

Preface

How Much Risk Are You Really Handling?

I normally don't speak to anybody on airplanes unless it is absolutely necessary, preferring instead to mind my own business, catch up on emails, or fill in paperwork. However, when the attractive, middle-aged lady sitting next to me on the flight from Dallas to Boston asked me whether the article I was reading was interesting, I decided to break my long-standing aviation rule and take up the conversation.

Apparently, Kimberly—or Kim as she preferred to be called—was flying to a job interview at a large and well-known financial services company headquartered on the east coast. She was rather apprehensive about the interview because the advertised area was completely new to her, and she didn't have much experience or knowledge of the financial industry. Being a professor of finance myself, it was fun and easy for me to offer some tips and trends.

As we chatted, it became apparent that she had recently lost her job at a medium-sized manufacturing company around the Dallas area—a casualty of cheaper labor and products from overseas—and was instead trying her luck in a completely different field. Her extensive expertise and knowledge of a particular software program used by her previous employer was of little use outside of the narrow manufacturing sector in which she had spent the last decade of her life. So, she was basically starting from scratch.

To make matters worse for Kim, although she was employed at the Dallas-based company for more than eight years, she didn't have much savings accumulated in her employer-sponsored, tax-sheltered savings plan. The company didn't offer a traditional pension plan, which actually had been frozen years ago. Indeed, the bulk of her tax-sheltered (aka 401k) savings plan had been allocated to one mutual fund and the common stock of the company she actually worked for. Neither of these investments had done very well in the last few years, and her account value was well under the cost basis of the funds.